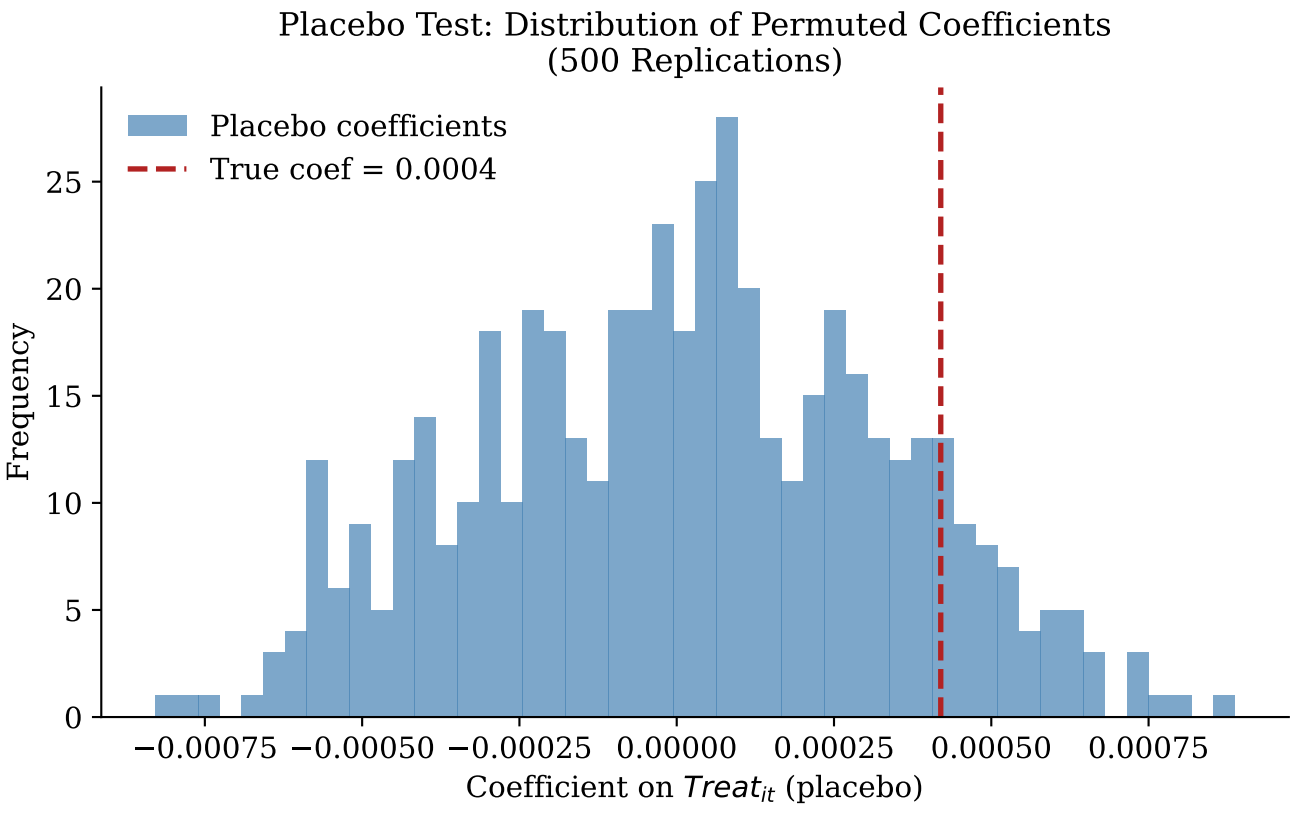
Placebo Test: Distribution of Permuted Coefficients
(500 Replications)
Placebo coefficients
True coef = 0.0004
Frequency
0
5
10
15
20
25
−0.00075
−0.00050
−0.00025
0.00000
0.00025
0.00050
0.00075
Coefficient on $Treat_{it}$ (placebo)